

Having completed the pre-bidding procedures and formalities with the Electricity Task Force and the Regulatory Commission, the Uttar Pradesh Power Corporation Limited (UPPCL) invited bids for the two ambitious projects of power generation and its sale. The bids were opened in April last year with Lanco Kodapalli emerging as the lowest bidder. But the corporation rejected the bid saying the rates were too high.

A second round of bidding was initiated in June and Reliance emerged as the lowest bidder this time. It was, however, rejected on the same grounds that the figures quoted were inflated. Bids were invited again for the third time in November when the JP Group emerged as the lowest bidder. Significantly, however, the price quoted by the group was higher than what Lanco Kodapalli or Reliance had

quoted in the earlier two bids. The UPPCL, it is reported, was considering awarding the jobs to the JP Group, which raised many eyebrows. "First of all, we demand that the new power generation projects be allotted to a public sector undertaking instead of private sector which is demanding higher prices," says Shailendra Dubey, general secretary of the All-India Power Engineers' Federation. "Secondly, there is a conspiracy to favour a particular group which has quoted the highest price and it would be a fraud with the public. We will oppose it at any cost," he adds, claiming that the higher bid by the JP Group would cost the corporation about Rs 7,400 crore over 25 years. The one-and-half-year delay has also added to the cost of the two power projects.

The UPPCL has now fixed February 5 as the date for opening the bid for

the fourth time. Insiders claim that the Government's dithering on the lowest bidders in the first two rounds had much to do with the political affiliations of the industrial groups involved. While Lanco Kodapalli is owned by an industrialist from the Congress camp, Reliance's links with the Samajwadi Party are well known. Similarly, Mayawati had invited PPP investment to generate 5,230 MW of power through different projects in the state, but most of these plans are languishing for reasons best known to the Government.

Other sectors have been equally affected. In the name of developing world-class roads in Uttar Pradesh, Mayawati planned expressways and link roads costing over Rs 75,000 crore. This included the Ganga Expressway, Yamuna Expressway and Hindon Expressway, besides half a dozen others in different regions of the state. But barring the ambitious Ganga Expressway and the Yamuna Expressway which have gone in favour of the JP Group, the other projects are still on paper.

Similarly, the move to sell 33 sugar mills owned by the Uttar Pradesh State Sugar Cooperative Federation was expected to bring in several hundred crores but has found no takers yet. The same has been the plight of the efforts to sell 77 hotels and units under the Uttar Pradesh State Tourism Corporation. A Rs 7,000-crore plan to develop an airport in Kushi Nagar and to upgrade the Buddhist circuit in the eastern part of the state has also come to nought. No different is the fate of a Rs 5,000-crore project to build multispeciality hospitals across the state.

It's been two years since Mayawati took over, but clearly she has made little headway on her agenda for progress. Instead, she is still seen as the imperious lady who is more keen to use office to settle scores with her political opponents. Add to that the appalling law and order situation in the state and it is easy to see why industrialists stay away. ■



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- ****Rs 15,000 crore investment in power sector yet to take off due to political bickering**
- ****Rs 75,000 crore earmarked for three major expressways and several highways across the state, but barring two, others remain on paper**
- ****Disinvestment of government-owned sugar mills yet to happen**
- ****The Government's plan to sell off 77 hotels owned by the Uttar Pradesh Tourism Corporation is gathering dust**
- ****Plan to attract investment for an airport to serve the Buddhist circuit has failed to take off**